

Oct Nov 21/v11

1-A:

A-Aero planes are an example of the factor of production capital because they are physical assets that are used in the production process. They are essential for the airline to carry out its business operations, which is to transport passengers and cargo between Europe and Dubai. The airline needs to purchase additional planes to open a new route to Dubai, which is a form of investment in capital goods.

On the other hand, landing slots (B) are a part of the infrastructure required to operate an airline, but they are not capital goods themselves. They are a part of the natural resources and public infrastructure of an airport, and the airline rents them from the airport authority.

Pilots (C) are considered a factor of production labor, not capital. They are the human resources required to operate the aero planes and provide services to the passengers.

Shares (D) are a financial asset that represents ownership in a company, and they do not directly contribute to the production process. While buying back shares may help raise the value of the firm on the stock market, it does not involve the acquisition of physical assets or investments in capital goods.

2-D:

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- A planned economy is an economic system in which the government makes decisions about the allocation of resources, production, and distribution of goods and services. In such an economy, the government sets production targets and directs resources to meet those targets.
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Option A, "Firms are sent signals to produce through the price mechanism," is incorrect. In a planned economy, the government decides what goods and services should be produced and in what quantities. The government does not use the price mechanism to signal firms to produce particular goods or services.

Option B, "Firms will operate in competitive markets," is also incorrect. In a planned economy, the government controls the production and distribution of goods and services. There is no competition between firms because the government decides what goods and services will be produced and in what quantities.

Option C, "Firms will attempt to make profits for the benefit of shareholders," is also incorrect. In a planned economy, the government controls all economic activities, and there are no shareholders to benefit from the profits of the firms. The government decides how the profits will be used, such as investing in new projects or redistributing the income to citizens , **since it operates with the objective of "social welfare"**

Option D, "Firms are more likely to consider the private and external costs of production," is correct. In a planned economy, the government is also responsible for setting regulations and standards for environmental protection and social welfare. Therefore, firms in a planned economy are more likely to

consider the private and external costs of production, such as the environmental and social costs, because they are subject to government regulations and standards.

3-A:

A – This is correct as in Sweden , a greater percentage of male entrepreneurs have access to training than finance.

B _ This is incorrect as it is not always difficult for male entrepreneurs to get finance than training, because in Japan , a greater percentage of them have access to more finance than training.

C _ We have information about the percentage of entrepreneurs with access to finance, rather than information about the amount of money.

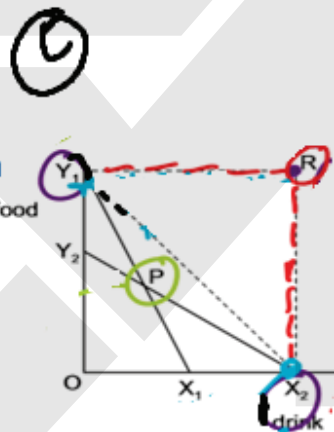
D _ We do not have absolute values in numbers about male entrepreneurs. This can not be deduced through data in percentage.

4-C:

* Y1 represents the maximum output of food produced by Northland.

* X2 represents the maximum amount of drink Southland produces after specialization.

* Point 'R' therefore sums it up, showing the combined output of food & drink.



A- The PPCs for both economies are represented through straight lines, representing "constant opportunity costs"

B - Point "P" does not represent the final equilibrium point as trade is based on comparative advantage and not intersecting point.

D - All points on Y1-X2, for example: the maximum output of food and drink, shown through Y1 and X2 cannot be "only" achieved through trade. This is because, even without trade, these can be achieved if each country allocates all their resources towards production of a good(if Northland dedicates all its resources towards production of food, Y1 will be achieved, and if Southland allocates all its resources towards production of drink, X2 can be achieved), and that too without trade.

5-D:

We are interested in an option that results in a leftward shift in the supply-curve for fresh-fish.

A - An increase in demand for fresh fish as a result of promotion of health benefits will not bring a leftward shift in the supply curve, thus making this option incorrect.

B - Favorable weather conditions will increase the quantity of fish being caught, in turn resulting in an increase in supply or a rightward shift in the supply curve for fresh-fish, thereby making this option incorrect.

C - When a new substitute becomes popular, the demand for fresh-fish falls, as a result of which there is a fall in the price of fresh fish, this will in turn bring about a contraction in qty supplied of fresh fish, instead of a leftward shift.

D - Regulations to combat over-fishing that limit the number of fish being caught will reduce the supply of fresh fish, or in other words bring about a leftward shift in the supply-curve for fresh fish, making this option correct.

6-D:

price
Q
If price rises, no producer will follow, QD and TR will be zero. PED = $\infty \Rightarrow$ Ref. option D
If price falls, everyone will follow, and losses will be made.

A - In case of unitary elastic demand, price can change, but it is just that a percentage change in price will bring an equal percentage change in qty demanded in the opposite direction.

B - In case of perfectly inelastic demand ($PED=0$), the price can rise, in fact the prices can rise by a very higher percentage, as the producer can pass the complete burden of an increase in costs to consumers, because the qty demanded is to stay unchanged.

C - The value of PED is always negative.

D - In the case of perfectly elastic demand ($PED = \text{infinite}$), any minute or fractional change in price brings an infinite change in quantity demanded, therefore the price level remains unchanged. If the price is raised, no producer will follow, and therefore QD and TR will fall to zero.

If price falls, everyone will follow, and losses will be made.

7-B:

A - Changes in real income can not be measured through cross elasticity of demand. Instead, changes in real income can be measured through (% change in nominal income - % change in inflation)

B - XED measures the responsiveness of a % change in quantity demanded of a good to a % change in the price of the other good. These goods include related goods, for e.g. substitutes and complements. Therefore, it can be said that it measures the change in demand for a good in response to a change in the price of a complement, making this correct.

C - It does not measure the change in price in response to changes in the demand for another good. Instead, it is the other way round.

D – It does not measure the change in price when the demand for it changes.

8-A:

-I am buying 3 cans initially which makes my price (4×3 i.e. 12)

-Add in all the prices willing to pay for three cans that will be $14+10+6=30$

-Consumer surplus is willingness less price that is $30-12$ which is 18

- If I buy the 4th can , total price will be four multiplied by 4, which is 16.

-Now my willingness is $14+10+6+4$ i.e. 34

-Consumer surplus is $34-16$ i.e. 18

In both cases, consumer surplus is the same or in other words, unchanged

9-D:

A- A is wrong since curve 1 represents perfectly inelastic supply curve ($PES=0$). It can never have infinite elasticity.

B-curve 2 is touching x axis representing inelastic supply (<1).Whereas, curve 4 touches the y axis representing elastic supply (>1), therefore it is incorrect. Curve 4 has greater elasticity than curve 2.

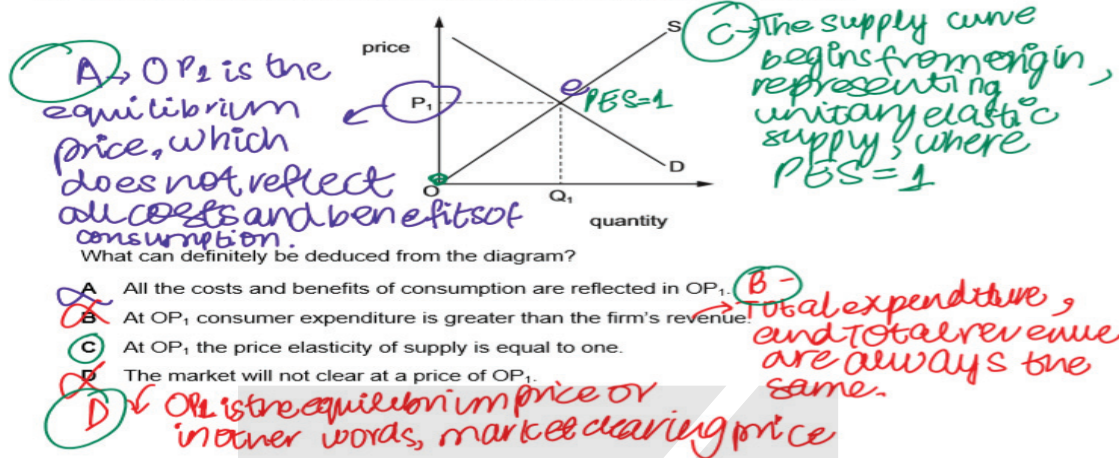
C- Curve 3 is starting from the origin representing unitary elastic supply, representing that the elasticity is equal to 1 throughout the length of the curve, thus making this incorrect.

D- Based on the elimination method, we are left with option D only, which is true as in case of curve 4, there is decreasing elasticity as price rises.

10-C:

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10 The diagram shows the demand and supply curves for a good in a free market.



11—C:

Option A, an agricultural good that has an annual growing cycle and requires a cool climate, is not the answer because the supply of the good is limited by the natural growing conditions. The quantity supplied of the good can only be increased to a certain extent since it is dependent upon the harvesting period. Therefore, the supply response is likely to be limited, **or in other words, supply is inelastic.**

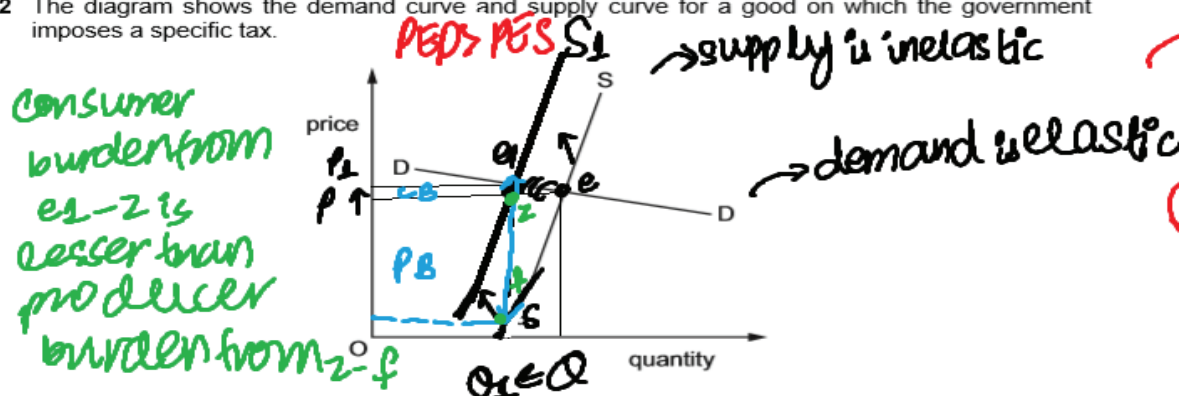
Option B, an agricultural good that is perishable and very expensive to store, is not the answer because the supply of the good is constrained by the cost of storage. If the good is very expensive to store, the producers may be reluctant to store them, and therefore low stocks of finished goods mean that **the supply is inelastic in response to changes in demand.**

Option C, a manufactured good that uses unskilled labor and there is unemployment in the economy, is the best answer. In this situation, increasing the quantity supplied of the good is relatively easy because the production process is labor-intensive and there is an available pool of unskilled labor in the economy. Employing more workers to produce the good will increase the quantity supplied and help reduce unemployment in the economy. **In such a scenario, supply will be highly elastic in response to changes in demand.**

Option D, a manufactured good that uses capital-intensive production and it is currently at full capacity, is not the answer because the supply of the good is constrained by the availability of capital. If the production process is capital-intensive, increasing the quantity supplied of the good would require additional investment in capital goods, since we are already operating at full capacity. It may then be difficult to increase the supply of the good in the short term without facing a significant rise in fixed costs, **making the supply inelastic in response to changes in demand.**

12-A:

12 The diagram shows the demand curve and supply curve for a good on which the government imposes a specific tax.



A - Since the consumer burden from $e1-z$ is lesser than the producer burden from $z-f$, option A is correct as the producer bears most of the incidence of the tax, because he cannot respond more by passing a greater burden to consumers (because of inelastic supply), and secondly, he can not afford to pass majority of the burden to consumer (because of elastic demand).

B- This is incorrect, as specific indirect tax would instead lead to the supply curve shifting leftwards parallelly.

C- It would have risen by the full amount of tax when $PED=0$, or in other words, when the demand is perfectly inelastic.

D - Qty bought will not fall proportionately to the tax rate. See the vertical distance and the horizontal distance between the two quantities.

13-C:

- An increase in incomes would cause the demand for normal goods to rise, because there is a "positive relationship" between incomes and demand for normal good; therefore, the good can not be a "normal good"
- An increase in incomes would cause the demand for inferior goods, that are relatively lower quality goods to fall, representing a negative relationship between incomes and demand.
- $YED = \frac{\% \text{change in QD}}{\% \text{change in income}}$
- $-20\% / +10\%$
- $YED = (-2)$
- The negative sign represents an inferior good, and the coefficient being greater than 1, represents an "income-elastic good"

14-A:

Option A, Privatization refers to the transfer of ownership and control of a public or state-owned enterprise to the private sector. In this case, the sale on the market of a French "state-owned" power-generation company is an example of privatization.

Option B, the sale of a privately-owned water company to a German firm, is not an example of privatization because the water company was already privately owned. The sale to a foreign firm may represent a change in ownership, but it does not involve the transfer of a publicly-owned enterprise to the private sector.

Option C, the takeover of a French car manufacturer by the French government, is not an example of privatization because it involves the transfer of ownership in the opposite direction, from the private sector to the government.

Option D, the purchase of a Swedish pharmaceutical producer by a larger American pharmaceutical producer, is not an example of privatization because it involves the acquisition of a privately-owned company by another privately-owned company, rather than the transfer of ownership from the public sector to the private sector

15-A:

One of the canons is the canon of economy, which states that the cost of collecting a tax should be as low as possible. This means that the administrative costs of collecting the tax should be minimized, so that as much revenue as possible can be allocated towards productive activities that benefit society.

Option A, "The cost of collecting the tax should be low," is therefore the correct answer. This principle ensures that the tax system is efficient and does not impose undue burdens on taxpayers or waste resources on administrative expenses.

Option B, "The tax should be easy to pay" is related to the canon of convenience, but not the same as the canon of economy.

Option C, "The tax should have a neutral effect on the use of resources," is again not related to the canon of economy

Option D, "The tax should have a positive effect on aggregate supply," is not related to the canon of economy. While taxes can have an impact on aggregate supply that is they decrease the Aggregate supply by increasing the costs of production of producers in an economy, this is not the primary concern of the canon of economy.

16-A:

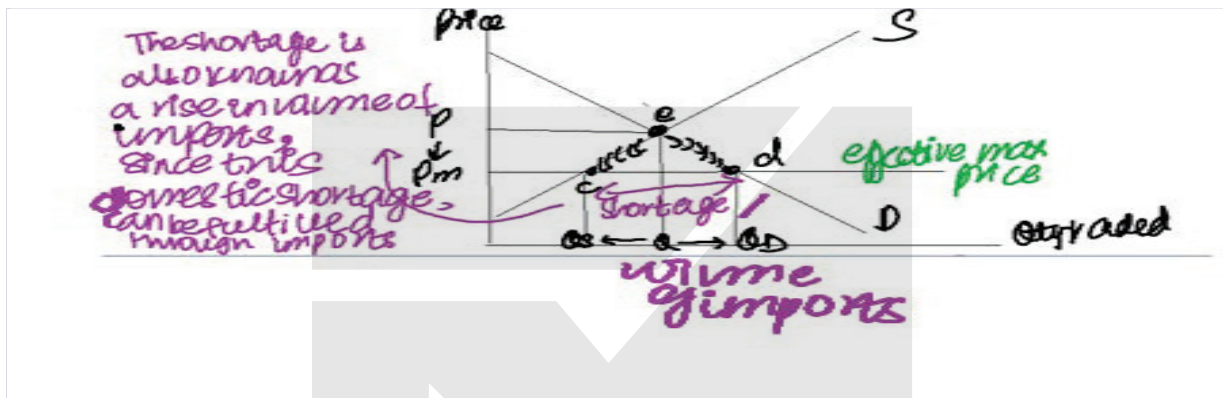
Option A is the correct answer because if the government removes fees for higher education provided by the public sector and the private sector, it is likely that private sector providers of higher education will reduce the supply of education since they operate with the objective of **profit maximization, why they may not be able to achieve.**

Option B is incorrect because the removal of fees does not necessarily mean that resources in higher education will be allocated through the price mechanism. The government or the public sector does not make use of **price mechanism , when making decisions about allocation of resources.**

Option C is incorrect because the demand for higher education may not be perfectly elastic when the price is zero.

Option D is incorrect because the opportunity cost of higher education to students is not zero. Even if there are no fees, students still face the opportunity cost of the time and effort required to study and attend classes, as well as the foregone earnings from not working during that time.

17-D:



- A- Imposition of an effective maximum prices on foodstuffs will help in lowering down their prices, therefore enabling to reduce inflation.
- B- As a result of maximum price legislation, the price of foodstuffs would fall instead of rising.
- C- As a result of maximum prices, shortages are created in the domestic economy, in-order to overcome which, there may be an increase in the imports of foodstuffs done instead of a decrease.
- D- Maximum price legislation would lead to a contraction of quantity supplied and an extension in quantity demanded, thereby resulting in a shortage, thus making this option correct.

18-A:

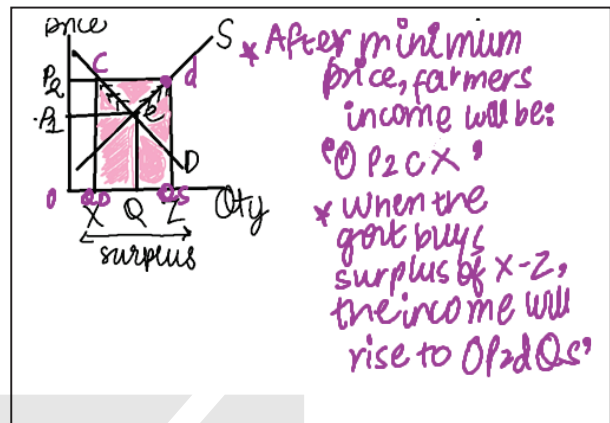
A-If buying the surplus is costly to the government ,and has an increasing opportunity cost ,the government may be reluctant to purchase it. Option A is the correct answer because buying up any surplus created due to the effective minimum price would be costly to the government. The government would have to use taxpayer money to purchase the surplus, which would then become a financial burden for the government.

B: The government may buy surpluses if not buying decreases the incomes of the producers, as it might lead to them falling into the trap of poverty, which can cause social problems such as increased crime rate in an economy

The diagram explains how minimum price can increase the incomes of the producer.

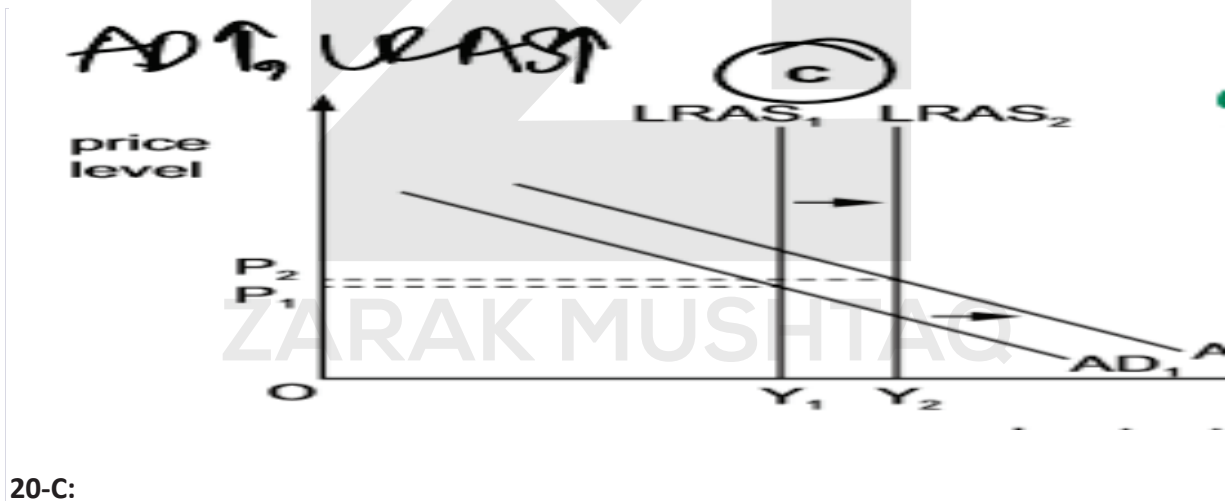
C -If buying the surplus would create shortages of alcohol, the government may purchase them since this way consumer' demand of alcohol would not be met, which may help to reduce negative externalities

D -The government may buy the surpluses if it leads to an increase in unemployment ,as it is reluctant to take decisions that may make people unemployed.



19-C:

- Government spending is a component of Aggregate demand ; therefore, it would cause the Aggregate demand curve to shift rightwards.
- Secondly, education and training enhances the quality of human capital , causing the Long Run Aggregate supply curve to shift rightwards, due to a rise in the productive potential of the economy.



20-C:

Option C is correct because disinflation refers to a situation where the rate of inflation (i.e., the rate at which prices are increasing) falls over time, but prices are still increasing.

Option A is incorrect because a fall in output is referred to as a recession, not disinflation.

Option B is incorrect because a fall in the price level is called deflation, not disinflation.

Option D is incorrect because the value of national income falling is referred to as a recession or depression, not disinflation

21-B:

Option B is correct because a country's terms of trade refers to the ratio of the price of its exports to the price of its imports. **The average price of exports divided by the average price of imports reflects the relationship between the value of what a country is selling and what it is buying in terms of the price level, thus making this correct**

Option A is incorrect because the difference between the volume of a country's exports and its imports is not referred to as terms of trade. (Volume represents quantity)

Option C is incorrect because the total value of exports divided by the total value of imports is not the terms of trade. Value represents "revenue"

Option D is incorrect because the volume of exports divided by the volume of imports is not terms of trade either.

22-A:

If the oil producing countries increase the supply of oil, this will reduce the world price of oil, eventually leading to an extension in qty demanded of oil, but by a smaller percentage, since the demand of oil for the oil-importing developing country is inelastic, which will in turn lead to a fall in import expenditures of oil.

And when import expenditures of oil fall relative to export revenues, this leads to an improvement in the Balance of Trade position.

Secondly, a fall in import expenditures implies a fall in costs and in turn a rise in Aggregate supply, which will in turn, lead to a surplus and in turn a fall in the general price level, representing that cost push inflation is controlled.

This means that inflation reduces, and therefore, option A becomes correct.

23-D:

Country Y
Rice : Tables
* 100 : 50
* 1 : 50/100
* 1 : 0.5
Y has a comparative advantage in rice.

Country X
Rice : Tables
* 150 : 100
1 : 100/150
1 : 0.67
Country X has a comparative advantage in producing tables.

Since it is bilateral trade, this means

Country Y produces rice at a lower opportunity cost.

- A- No, X only has a comparative advantage in tables.
- B- No, X has a comparative advantage in tables.
- C- No, Y does not have a comparative advantage in both the goods; Y only has a comparative advantage in rice
- D- This is correct as Y has a comparative advantage in producing rice.

24-B:

Option B is correct because attracting more foreign direct investment (FDI) would increase the inflow of foreign capital to the country, which can be used to finance the current account deficit. FDI can come in the form of purchasing stocks or bonds, acquiring real estate, or investing in new businesses, which can provide the country with the necessary financing.

Option A is incorrect because adopting a fixed exchange rate would not address the underlying causes of the current account deficit and may even exacerbate the problem by restricting the ability of the country's currency to adjust to changes in supply and demand, as in case of floating exchange rate system, the deficit is "self-correcting"

Option C is incorrect because decreasing income tax rates, after increasing disposable incomes and in turn purchasing powers and consumer confidence would lead to an increase in consumption of imported goods, leading to a rise in import expenditures, further exacerbating the deficit.

Option D is incorrect because lowering the rate of interest may discourage foreign direct investment inflows in the country, which could have been used to finance the deficit.

25-C:

The balance of payments (BOP) is a record of all the economic transactions between the residents of one country and the rest of the world over a specific time period. It is divided into three accounts: current account, capital account, and financial account.

In this scenario, a resident of country X buys shares in a firm in country Y. This is a financial transaction, which means that it will be recorded in the financial account of country X's balance of payments.

Next, the shares pay the resident a dividend. Dividends are a type of primary income, which represents income earned from investments. Therefore, the dividends received by the resident of country X will be recorded in the primary income account of country X's current account.

This is why C becomes correct.

26-C:

A) Regarding the stance on how appreciation can control cost-push inflation, in the short run, it is possible that an appreciation of the exchange rate could reduce the cost of imported goods as when imported goods appear relatively cheaper, there is an extension in qty demanded by a smaller

percentage, since the demand for imported goods is inelastic, which would reduce the cost of production for firms. This could potentially reduce the pressure for cost-push inflation.

B) This could lead to a fall in interest rates and subsequently a reduction in costs of borrowing, which will lead to a rise in investment expenditure, and as a result of a rise in aggregate demand, there would be "demand-pull inflation in the economy"

C) This is the most likely cause of cost-push inflation. When the cost of imported raw materials or goods increases, it increases the cost of production for firms. Firms then pass on these increased costs to consumers in the form of higher prices. **This is why becomes correct.**

D) An increase in the rate of income tax: This could potentially decrease aggregate demand, as consumers would have less disposable income to spend. This would reduce demand pull inflation, and may not "increase cost push inflation".

27-C:

The Consumer Prices Index (CPI) is a measure of inflation that tracks the prices of a basket of goods and services purchased by households. Any changes that affect the composition of this basket, the prices of the items within it, or the frequency with which it is updated can potentially impact the accuracy of the CPI.

Option C, "Households change their spending habits," is the most likely to reduce the accuracy of the CPI as a measurement of inflation. This is because the CPI is calculated based on a fixed basket of goods and services, with fixed weightings assigned to each item. If households change their spending habits and start purchasing more of some items and less of others, the CPI may not accurately reflect changes in the cost of living for those households. For example, if the price of gasoline increases, households may reduce their spending on gasoline and purchase more fuel-efficient cars instead. However, if the CPI does not reflect this change in spending patterns, it may overstate the impact of the increase in gasoline prices on overall inflation. **This is why becomes correct.**

Option A, "A larger sample is used in the household spending survey," and option B, "Technology makes it easier for retailers to submit accurate monthly price data," are more likely to increase the accuracy of the CPI, as they would improve the quality and quantity of the data used to calculate the index.

Option D, "The weightings attached to the basket of goods are reviewed more often," may improve the accuracy of the CPI as more frequent reviews may help ensure that the basket of goods and services remains relevant and up-to-date.

28-D: Monetary policy is the demand side policy handled by the central bank, which aims to manipulate money supply, interest rate and exchange rate to influence Aggregate demand. By devaluing currency (lowering the exchange rate), a country experiences BOT surplus in the long run, when the Marshall Lerner condition is fulfilled, that is, when the combined sum of PED of imports and exports is greater than 1, leading to an expansionary effect on Aggregate demand. **This is why, it will be regarded as an expansionary monetary policy**

A reduction in the rate of income tax, will increase disposable income ,and in turn encourage an increase in consumption expenditure ,leading to an expansionary effect on Aggregate demand. **This is why, it will be an expansionary fiscal policy.**

Similarly, a reduction in the rate of income taxes is also an **expansionary supply side policy** because it increases the incentives to work and individuals will be encouraged to work overtime and seek promotion, and those who had left the workforce will be encouraged to join. This is why, key D, becomes correct.

29-D:

Option D, "Productivity improvements in Guatemala's export sector," is the most likely contributory factor to the change in the balance of payments on the current account over the five-year period.

An improvement in the productivity of Guatemala's export sector would increase the country's export competitiveness, allowing it to produce more goods at a lower cost and sell them at a competitive price internationally. This would lead to an increase in the value of exports and a decrease in the value of imports, which would improve the balance of payments on the current account. Therefore, productivity improvements in Guatemala's export sector could lead to an increase in the balance of payments on the current account from -US\$1.6 bn in 2011 to +US\$1.0 bn in 2016.

Option A, "An appreciation of Guatemala's currency," would have the opposite effect on the balance of payments on the current account. An appreciation of the currency would make exports more expensive and imports cheaper, reducing the competitiveness of Guatemala's export sector in the long-run, and leading to a deterioration of the balance of payments.

Option B, "A growth of household incomes in Guatemala," and option C, "A lowering of tariffs on goods imported into Guatemala," would both increase the demand for imports, leading to a deterioration of the balance of payments on the current account. While a growth of household incomes may increase domestic demand for both domestic and **imported goods**, a lowering of tariffs may **increase imports by making them relatively cheaper compared to domestic goods**.

Therefore, option D is the correct answer as it is the only option that suggests a factor that could lead to an improvement in the balance of payments on the current account over the given time period.

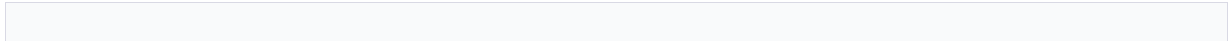
30-B:

B)The answer B is correct because a reduction in income tax would increase disposable income and therefore increase consumption, which would raise aggregate demand. An increase in production subsidies represents government spending, which represents injections in to the circular flow, leading to an increase in aggregate demand.

A) An increase in interest rates would reduce consumption and investment by increasing costs of borrowing, leading to a decrease in aggregate demand. A reduction in income tax ,as mentioned above, could potentially increase aggregate demand, but it would be partially offset by the decrease in investment due to the increase in interest rates.

C) An increase in corporate tax would reduce retained profits and investment, leading to a decrease in aggregate demand. An increase in government spending could potentially increase aggregate demand, but it would be partially offset by the decrease in investment due to the increase in corporate tax.

D) An increase in value-added tax (sales tax) would raise the prices of goods and services, as a result of which, real incomes will erode, leading to a fall in consumption expenditure, and in turn Aggregate demand. A reduction in government spending could also decrease Aggregate demand, since govt spending is a component of Aggregate demand.



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